The trade began on bar D when the stock made an intraday low below C.

As the days ticked past, he watched the stock move lower. At the circled area, the stock ran into support and moved sideways for several days. That sideways move might be a corrective phase of a measured move down. That's the high in the extension (above D at 14.28) to the low in the correct phase at the start (12.51) subtracted from the high in the corrective phase (13.47) to give the 11.70 target. (The high at candle F is at 11.71, a penny above the target.)

“I decided to cancel my order to close out the trade at the target [the price of the low at A] and instead to let it ride.”

A strong downtrend developed.

As price dropped out of the corrective phase (circled area), each price bar's high was below the prior bar's high. “I knew to wait three price bars [to assure a strong trend] before acting” on this feature.

After the third bar showed a lower high, he placed a trailing stop a penny above the prior bar's high and lowered it as the next bar appeared.

At G, the stock touched his trailing stop and closed out the trade at 11.72 for a gain of $1.78 or 13% in about 3 weeks. Using this technique of trailing the stop lower, he was able to exit at a more favorable price (11.72 versus 12.18).